



CHAPTER xvi.

An Act for providing for the extinction of the founders' shares of the Chelsea Electricity Supply Company Limited and the substitution therefor of ordinary shares in the capital of that Company and for other purposes. A.D. 1905.
[30th June 1905.]

WHEREAS the Chelsea Electricity Supply Company Limited (in this Act called "the Company") were incorporated in the year one thousand eight hundred and eighty-four under the provisions of the Companies Acts 1862 to 1883 as a company limited by shares :

And whereas under the memorandum of association of the Company and various special resolutions since duly passed the capital of the Company consists of four hundred thousand five hundred pounds divided into six thousand preference shares and seventy-four thousand ordinary shares of five pounds each and five hundred founders' shares of one pound each :

And whereas the whole of the preference shares and founders' shares and forty-four thousand four hundred and thirty-six ordinary shares have been issued and are fully paid up :

And whereas the founders' shares in the Company entitle the holders thereof subject to the provisions contained in the articles of association of the Company as to reserve fund to one third of the surplus profits of any year after the payment of a preferential dividend at the rate of six per cent. for such year upon the ordinary shares in the capital of the Company :

And whereas the Company is desirous that the founders' shares should be extinguished and as a result of negotiations between the directors of the Company and the holders of founders'

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A.D. 1905. shares an arrangement has been come to for the surrender of such founders' shares in consideration of the allotment and issue to the holders thereof respectively of fully paid ordinary shares in exchange for such founders' shares in the proportion of ten fully paid ordinary shares of five pounds each for every founders' share of one pound and it is expedient that such arrangement be sanctioned:

And whereas the purposes of this Act cannot be effected without the authority of Parliament:

May it therefore please Your Majesty that it may be enacted and be it enacted by the King's most Excellent Majesty by and with the advice and consent of the Lords Spiritual and Temporal and Commons in this present Parliament assembled and by the authority of the same as follows:—

Short title. 1. This Act may be cited as the Chelsea Electricity Supply Company's Act 1905.

Interpre- 2. In this Act unless the context otherwise requires the tation. expression "the directors" means the directors of the Company and the expression "date of conversion" means the thirtieth day after the date of the passing of this Act.

Extinction of founders' shares and issue of ordinary shares in lieu thereof. 3.—(A) As from the date of conversion the founders' shares in the Company and all rights in respect thereof shall be and are hereby extinguished and the capital of the Company is hereby reduced by five hundred pounds (being equal to the nominal value of the founders' shares so extinguished) and the directors (without further or other authority than this Act) may and shall issue five thousand ordinary shares in the capital of the Company which shall be deemed to be fully paid up and shall be numbered respectively 50937 to 55936 in the register of members of the Company and shall allot such ordinary shares to the holders of founders' shares in the Company in substitution for such founders' shares according to the following scale (that is to say) For every existing founders' share in the Company there shall be allotted ten of such ordinary shares which shall be vested in the holder of such founders' share as from the date of conversion and shall be forthwith registered in his name in the register of members of the Company.

(B) Holders of founders' shares shall on or before the date of conversion surrender the certificates of such shares to the Company and the directors shall on that date issue in exchange

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for those certificates to such holders respectively free of charge A.D. 1905.
certificates of such number of ordinary shares as such holders are
respectively entitled to under this Act but no holder of a founders'
share shall be entitled to a certificate of ordinary shares issued and
allotted in substitution for such founders' share until he shall have
delivered up to the Company to be cancelled the certificate of the
founders' share for which the same are to be substituted or shall
have proved to the reasonable satisfaction of the directors the loss
or destruction thereof and if any holder of any founders' share or
shares neglects or omits to send or deliver to the Company the
certificate or certificates of such share or shares for the period of
three months after notice in writing sent by post in a prepaid letter
to the registered address of such holder the Company may suspend
the payment of any dividend declared or made payable upon or
in respect of the ordinary shares issued in lieu thereof until the
certificate or certificates of such founders' share or shares is or are
sent or delivered to the Company or proved to the reasonable
satisfaction of the directors to have been lost or destroyed.

(c) It shall be lawful for the directors to close and they shall
close on the date of the passing of this Act such transfer books and
so much of the register of members as relates to founders' shares
or the holders thereof and the persons who appear by such register
of members to be at the said date the holders of founders' shares in
the Company or their respective executors or administrators shall
be considered as the holders of founders' shares in the Company
for the purpose of the issue and registration of ordinary shares in
substitution therefor under this Act and any transfer of founders'
shares which is not duly registered prior to the date of the passing
of this Act shall as between the Company and the party claiming
under the same be of no effect :

Provided that the directors may at their discretion on the
written request of the holder of any founders' share issue and
allot the ordinary shares to be issued and allotted in substitution
for such founders' share or any of them to such person or persons
as such holder shall by such notice request and shall in that event
register such ordinary shares in the name or the respective names
of such persons and shall issue a certificate of such ordinary shares
as provided in the foregoing provisions of this section accordingly.

(d) The holders of founders' shares shall not be entitled to any
share of the profits of the Company for the year one thousand nine

A.D. 1905. hundred and five in respect of their founders' shares but each ordinary share to be issued in substitution for any founders' share shall confer a right to the payment of a sum equal to one half of the dividend (including any interim dividend) paid on each other fully paid ordinary share in the capital of the Company for the year one thousand nine hundred and five and such sums shall be paid to the holders of ordinary shares to be issued in substitution for founders' shares as and when such dividends are paid to the holders of other ordinary shares in the capital of the Company or within fourteen days of the passing of this Act whichever shall last happen Save as aforesaid such ordinary shares shall rank *pari passu* with the other ordinary shares of the Company.

Notice of the effect of this enactment shall be given on all certificates of ordinary shares issued in substitution for founders' shares.

Trustees &c.
may accept
ordinary
shares in lieu
of founders'
shares.

4. Trustees executors administrators and all other persons holding founders' shares in the Company in any representative or fiduciary capacity or as mortgagees at the date of conversion may accept the ordinary shares in the capital of the Company to be issued and allotted in accordance with the provisions of this Act in substitution for such founders' shares and shall hold such ordinary shares in the same rights on the same trusts and subject to the same powers provisions charges liens and incumbrances as those on or to which the founders' shares for which they are substituted were held or were subject immediately before the date of conversion and such trustees executors administrators and persons are hereby indemnified for all acts done *bonâ fide* by them in pursuance of the provisions of this Act.

Reference to
founders'
shares in
testamentary
instruments
&c.

5. In any instrument executed before the date of conversion reference to any founders' share or shares in the Company shall after that date be construed as reference to the ordinary shares in the capital of the Company which in accordance with the provisions of this Act are substituted for such founders' share or shares and any testamentary instrument executed before the date of conversion which but for this Act would have operated as a specific bequest of any such founders' share or shares shall be construed as a specific bequest of the ordinary shares issued in accordance with the provisions of this Act in substitution therefor which may be vested in the testator at the time of his decease.

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6. Articles 8 and 9 of the articles of association of the Company are hereby cancelled and the memorandum and articles of association of the Company shall be read and construed so as to conform with the provisions of this Act.

Amendment
of memo-
randum and
articles of
association.

7. The Company shall deliver to the Registrar of Joint Stock Companies a printed copy of this Act and he shall retain and register the same and if such copy is not delivered within three months from the passing of this Act the Company shall incur a penalty not exceeding two pounds for every day after the expiration of the said three months during which the default continues and any director or manager of the Company who knowingly and wilfully authorises such default shall incur the like penalty.

Act to be
registered.

Every penalty under this section shall be recoverable summarily.

There shall be paid to the said registrar by the Company on such copy being registered the like fee as is for the time being payable under the Companies Act 1862 on registration of any document other than a memorandum of association.

Such registration shall be deemed to be a compliance with subsection (1) (B) of section 7 of the Companies Act 1900.

8. To every copy of the memorandum and articles of association of the Company supplied after the first day of January one thousand nine hundred and six to any member under the provisions of section 19 of the Companies Act 1862 there shall be annexed a copy of this Act which for the purposes of that section shall be treated as part of the memorandum and articles of association of the Company.

Copy of Act
to be sup-
plied to
members on
request.

9. All costs charges and expenses of and incident to the preparing for obtaining and passing of this Act or otherwise in relation thereto shall be paid by the Company.

Costs of Act.

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